EXPEDIA GROUP INC EXPE

July 24, 2026 - 1:30pm EST
by HighLine09

			2026	2027
Price:	262.00	EPS	20	23
Shares Out. (in M):	120	P/E	0	0
Market Cap (in $M):	31	P/FCF	0	0
Net Debt (in $M):	1	EBIT	0	0
TEV (in $M):	30	TEV/EBIT	0	0

Description

Company Overview

Expedia Group, Inc is one of the largest global online travel companies, with a strong foothold in North America and growing internationally. With roughly 3.6 million lodging properties (2.4 million through Vrbo and 1.2 million hotel units delivered through its multiple brands), 500 airline relationships, access to rental cars, cruises, and packaged activities, Expedia connects global travelers to its travel partners and advertisers.

Founded in 1996 as a division within Microsoft, Expedia was spun out to IAC in 2005, grew through the acquisitions of Hotel.com (2005), Orbitz and Travelocity (2015), and rebranded to Expedia Group in 2019. Through 2020, Expedia operated as a fragmented "house of brands," each focused on building market share and responsible for their own marketing, offerings, and operating on their own back-end system.

Starting in 2020, Expedia began a massive multi-year mission to integrate all brands into a unified ecosystem that would consolidate and integrate all marketing, operations, and technology throughout the company. The overhaul was designed to streamline operations, reduce costs, accelerate product innovation, and scale its services.

Expedia Group serves two distinct travel segments: B2C (business to consumer) and B2B (business to business). Even though both segments leverage a unified technology and supply platform, they target very different customer needs and business models. Business to Consumer accounts for roughly 65% of the company's revenues and 70% of the profits by primarily selling directly to the global leisure traveler searching for flights, hotels, car rental & vacation properties. B2C harnesses Expedia's retail travel brands, especially Expedia (full-service travel), Hotel.com (lodging specialist), and Vrbo (vacation rentals). Historically, Expedia's B2C segment margins have been heavily influenced by Google's ad bidding. This dynamic has recently changed as Expedia's brand awareness, marketing efficiencies, and loyalty program have all helped Expedia Group become less reliant on click-through ads. Even with a modest 8% revenue growth year-over-year, B2C has recently been able to achieve 30-32% EBITDA margins driven by strict cost discipline and quickly eliminating low-return performance marketing. In the B2C segment, Expedia can act as a merchant (receives payment directly before paying suppliers), agent (receives commission for booking transaction), or vacation rental platform (receives commission and transaction fees ~8% of rental price).

B2B is Expedia's enterprise offering and has emerged as the company's primary growth engine. Expedia's Business to Business segment partners with airlines, financial institutions (Chase, Amex, and Wells Fargo travel portals), corporate travel departments, retail loyalty programs (e.g., Walmart), and offline travel agencies by providing access to its extensive inventory of travel options. Expedia is capturing enterprise market share by onboarding larger global partners who want to offer travel rewards without building the massive inventory, customer service teams, and payment clearing rails themselves. The corporate partners gain access to Expedia's inventory of hotel rooms, airline reservations, and car rentals through Expedia's API, which integrates into a partners' website, or a pre-crafted White Label website that replicates Expedia's platform. Like Expedia's B2C segment, B2B acts either as merchant or agent for each transaction. For the past four years, B2B has been growing in the mid to low 20% range, the majority from international growth. Although not disclosed, it is believed that international now represents approximately 50% of Expedia's B2B revenue and the segment's continued future growth.

Embedded in B2B and B2C revenue is the contribution from Expedia Group Media Solution, the company's advertising arm. Similar to Amazon, Expedia leverages its 300+ million monthly travel searches in placing sponsored search and integration ad placements. Expedia is already working on rolling out automated AI bidding tools that would expand into conversational ad formats for agentic AI queries. Expedia advertising revenue is growing at a mid-to-high teens annual growth rate and generates a 70-80% EBITDA profit margin. With current ad revenue at greater than $1.2 billion, Expedia expects to see it more than double over the next 5 years.

Industry

OTAs (online travel agencies) represent over 70% of the global travel industry bookings, growing annually by around 8% per year. With North America's mature and competitive market growing around 5% per year, future global growth will be coming from Asia-Pacific (China & India over 15%/year), Latin America (Brazil & Mexico, 12%/year), and the Middle East at 10%/year.

Dominated by lodging, hotel reservations account for over 80% of all OTA booking revenue. Because of their high fixed operating costs, hotel operators are incentivized to rent out their rooms, even at below-market rates, especially during periods of low demand. Over the years, OTAs became a much-needed platform for hotel chains to market and sell rooms at their properties. With their ability to bundle travel products, OTAs like Expedia can mask the true day rates travelers receive for the hotel stays, helping hotels maintain their pricing power. The dependency of hotels on OTAs translated into take rates that grew to 15-22% vs. 1-3% for airlines. While OTAs continue to hold significant power through inventory aggregation and fulfillment, new pressures from tech giants, direct channels, and agentic AI are reshaping the landscape.

Thesis

Through its scale, inventory, trusted brands, and newly redesigned tech stack, Expedia Group expects to improve both revenue and profitability (especially in its B2B segment). By continuing to make travel reservations faster and easier, and with its ability to bundle multiple travel products, Expedia Group's goal is to make its travel platform a key destination for global travelers and reduce its dependence on click-through traffic. Artificial intelligence, along with machine learning, plays a major role in harnessing the decades of collected data to personalize travel plans, boost retention and attach rates, and build brand loyalty.

AI – Headwind or Tailwind

Management views the emergence of generative and agentic AI as both an industry threat and a transformative business tailwind. While concerns regarding disintermediation and new competition persist, the company's growth strategy is built on the premise that AI will ultimately benefit its business model by enhancing brand loyalty, driving operational efficiencies, and discovering new revenues from travel opportunities.

Early on, standalone LLMs like OpenAI and Gemini showed the power of agentic AI to create a travel itinerary and even go as far as to book travel arrangements. This created the fear that the OTA industry was going to be disrupted. However, Agentic AI offered by large LLMs cannot fully replicate the travel bundling opportunities that Expedia can provide. LLM agents lack access to real-time inventory, pricing, and availability, as LLMs are trained on historic/stale data. OTAs excel at travel packaging (flights, hotels, and car rentals) with pre-negotiated discounts that change rapidly based on inventory. The disruption that AI generates comes from shifting travelers' attention away from OTA platforms to LLMs, in the belief that travel services and pricing are a commodity. AI disruption also comes from lowering the barriers to entry, encouraging new market entrants. Travelers defaulting to LLMs instead of visiting Expedia's platform are less likely to visit Expedia directly, less likely to build brand loyalty, and negatively impact Expedia's future revenue and margins.

Over the last couple of years, LLMs have begun partnering with OTAs to execute travel itineraries generated by their LLM travel queries. LLM partnership revenues are classified as either B2B (if the LLM uses an API to query Expedia's inventory), as B2C (if the LLM provides a link to Expedia's platform), or as Advertising Revenue (when 3rd party travel supplier pays Expedia to be featured when AI assistants pull data from Expedia's network). Travel queries arriving from LLMs have conversion rates that are 1.3x higher vs. traditional search users. Neither the LLMs nor Expedia are disclosing the details of the partnership, including the revenue generated.

One of the key benefits to Expedia's multi-year platform redesign was the consolidation and organization of its fragmented data, both operational and customer-specific data. Internally, Expedia has been deploying AI to streamline operations, cut costs, accelerate development, and improve productivity. One of the main areas where AI is having the biggest impact is customer service. With over 250 million yearly service interactions, AI-powered virtual agents are now handling over 50% of traveler queries, cancellations, refunds, and booking changes. When escalation to a human agent is needed, AI generates a quick conversation summary (in 30+ languages), making human agents more productive. Expedia has also deployed AI coding assistants, which played a key role in helping redesign the company's tech stack and keeping the project ahead of schedule.

With hundreds of millions of customer interactions (booking patterns, searches, reviews, preferences, and loyalty behavior), Expedia's AI agent (Romie) can leverage customer data to make travel recommendations and bundling options that have higher conversion and attachment rates. Romie is designed to act as a booking agent, personal assistant, and concierge. Once a trip is booked, Romie monitors the itinerary for any changes that would impact the trip, including flight cancellations, weather impacts, and local activities.

Another AI feature that still needs work is Expedia Trip Matching. This AI feature allows travelers to convert public Instagram Reels that feature a travel experience to be reviewed by Expedia's AI. By analyzing the video, Expedia Trip Matching can identify the location and design a trip around the destination and local experiences. The goal of this feature, and many of Expedia's ideas, was to provide instant trip ideas and strong conversion rates.

Booking Holdings – Closing the Gap

Booking Holdings is the largest global OTA, maintaining an industry-leading operating margin of 22%, compared to Expedia's 10%. To understand how Expedia intends to close the 1200 bps gap, one first needs to understand why the margin disparity exists.

Even though Booking Holdings and Expedia Group are two of the largest global OTAs, they have very different business models. Geographically, Booking focuses on the European travel market vs. Expedia's North American foothold. The European hospitality market is highly fragmented, with roughly 77% of the hotels independently owned. Because of their independence, these hotels have less bargaining power with OTAs and are subject to a high take rate of 15-20%. By contrast, North America is a highly concentrated hotel market where the corporate hotel chains can negotiate a much lower take rate, which amounts to 10-12% on average. The product mix of airline bookings, which carry a ~3% take rate, weighs much heavier on Expedia than it does on Booking.

Booking Holdings began its OTA journey in the Netherlands and branched out from there, creating a strong European foothold. Because the European travel market was highly fragmented, Booking Holdings became a highly effective OTA with over 60% of its travel volume coming directly to its platform. Over time, Booking's travelers became conditioned to visit its platform rather than using a search engine. This kept its marketing and customer acquisition costs low and strengthened its operating margins. Conversely, Expedia paid top dollar for search engine marketing and only recently has addressed the cost. It is estimated that search engine marketing costs Expedia 30-40% of its gross revenues.

To address the 1200 bps gap, Expedia Group has been making changes to its business model to expand the company's reach, make it more efficient and productive, while harnessing its 30 years of data. These changes, including its expanding B2B business segment, redesigned platform ecosystem, reducing Expedia's dependence on search engine marketing, and harnessing its customer data for better agentic AI recommendations, have all been discussed. Over time, the 1200 bps gap will be reduced with B2B and the tech stack having the biggest impact. It is unlikely that the gap will be completely closed, but even cutting it down by 50% to 75% will have a big impact on Expedia's margins.

Valuation

Expedia Group offers a compelling investment as a scaled, diversified OTA with growing revenues, improving profitability, strong cash flow, and proactive AI/tech positioning. The company's stock appreciation over the past year is a direct result of its growing B2B segment and completion of its tech stack unification project. However, there is more to come.

With continued strong growth from its B2B segment and reduced marketing and customer acquisition costs for its B2C segment, Expedia is expected to double its revenues while improving its margins over the next five years. Even with growing revenues, margins, and cash flows, Expedia Group is currently trading at 13x current year's expected earnings and 11.5x forward earnings. The company's strong free cash flow gives management the ability to fund its recently announced $5 billion repurchase program. As B2B becomes a larger portion of the Expedia Group's earnings and buybacks continue to shrink Expedia's share count, investors should expect the company's multiple to trend higher toward peer averages. Given the current volatility in the company's share price, this is one of those investments that can add to over time.

Summary

Expedia Group offers a compelling long-term investment. Over the last five years, Expedia Group has undergone structural changes to address its fragmented brands and software, reducing its leisure B2C travel dependence on high search engine marketing and customer acquisition costs, expanding its B2B enterprise segment, with a willingness to pivot to reflect rapid changes from AI.

It is estimated that by uniting its brands, marketing, and operations under one tech stack, Expedia Group is saving roughly ~$300 million per year in designing/maintaining duplicate systems and infrastructure, while using AI internally to address 50% of customer service needs. The redesigned tech stack, along with loyalty rewards and reduced "mobile-only pricing" via its mobile app, is helping drive more travelers directly to Expedia's mobile platform and reducing the company's dependence on search engine marketing and customer acquisition costs.

Expedia's B2B enterprise segment is the company's main growth engine and expected to be on equal revenue footing with B2C over the next 5 years. B2B provides several benefits to Expedia: It offsets the cyclicality of leisure travel, it requires very little marketing and customer acquisition spend, and it allows Expedia to expand its European footprint.

It is still too early to tell if AI/agentic AI is a net positive for Expedia Group. Internally, over 90% of the company's employees use AI in their daily workflows, and the company uses its own AI agents like Romie and Expedia Trip Matching to shorten the gap between inspiration and booking. Habits are hard to break. Expedia's main goal is to drive traffic to its platform before travelers engage with search engines or LLMs.

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Catalyst

- Continued growth from B2B segment.
- Expedia's platform becomes a key destination for global travelers, reducing B2C marketing and customer acquisition expenses.
- Continued share repurchases.
- Expedia's platform becomes a key destination.

Messages

Subject	Nice Writeup
Entry	07/24/2026 04:25 PM
Member	jazz678

HighLine -

Great writeup. We've been long for a couple years now and agree with much of what you outlined. I'd point out two additional things:

1) The thesis seems to fall on deaf ears as most investors (hedge funds and long only) view BKNG as the superior operator and higher multiple stock. It's historically disappointed on margins and execution/integration, as well as capital allocation - resulting in heavy volatility around earnings. BKNG executed well, grew faster and warranted a much higher multiple. But now the growth algorithm has reversed. Even if BKNG grows top line faster (which may not be the case going forward with B2B accelerating, loyalty program, AI integration, etc), EXPE's margin expansion and heavy buybacks make the EBITDA and FCF/share growth algorithm lean in EXPEs favor. FCF/share should grow significantly faster for EXPE over BKNG for the next several years, assuming they continue to execute. Powerful at 11.5x and by our estimation, 10x FCF. Investors still hate it - tons of scar tissue

2) Things started humming with the CEO change in 2024. One question we never got a satisfactory answer to is why the CFO change happened earlier this year. Seemed kind of out of left field. Wondering if anyone has any insights here...